

When the Licence Becomes the Liability: A Framework for Understanding IP Inversion in Licensing Relationships

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Abstract

This paper investigates how the value of an intellectual property licence evolves relative to the product built around it, and what happens when that product outgrows the licence it was built on. Using qualitative case analysis, the paper examines three primary cases the Electronic Arts and FIFA licensing relationship, the Disney and Netflix content licensing arrangement, and Sony's first-party IP ownership model alongside secondary references to EA's NCAA relationship, Epic Games and Apple, and Konami's PES to eFootball transition. The central argument, the inversion thesis, holds that licensing relationships structurally invert when the licensee's operational investment creates ecosystem value that surpasses the symbolic value of the licensor's brand. This inversion is not accidental it is the predictable consequence of compounded operational effort. The paper further proposes a four-part due diligence framework designed to supplement standard M&A practice when evaluating licence-dependent assets: revenue dependency analysis, contract renewal risk assessment, leverage and bargaining power mapping, and asset durability evaluation. The practical implication for acquirers and investors is clear the question is not whether a licence is legally valid, but where the value lives and what survives its removal.

Keywords: IP licensing, inversion thesis, hold-up problem, mergers and acquisitions, ecosystem value, licensing dependency, bargaining power, gaming industry

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1. Introduction

I have been playing FIFA since 2017. FIFA 18 still holds me not because of FIFA's badge, but because of a Chelsea squad that had just won the Premier League the previous season and a Roma side still playing Totti at number ten. FIFA the organisation had nothing to do with either of those things.

The biggest mistake people make is assuming the name is more valuable than the product built around it. The prime example for this is EA and FIFA. EA has been building and maintaining a loyal fanbase for three decades, and FIFA licensed its name to EA thinking that their global recognition would deliver traction as well as a larger player base, and that was their mistake. EA had been laying the groundwork for its own base long before FIFA arrived, and by the time the two split apart, EA had already grown into something so immense that the numbers seem unreal. In 2020, FIFA earned \$158.9 million from licensing its name to EA (FIFA, 2020). In that same year, EA earned \$1.49 billion from the product it built underneath that name (Murphy, 2021).

When FIFA raised the price of the licensing, EA knew their worth, rejected the contract, and parted ways. In the most revealing fashion, FIFA was exposed and showed how little their importance was to EA. The EA CEO himself called the FIFA license “four letters on the front of the box” (Robinson & Henderson, 2022), he wasn't being provocative, he was being honest.

For someone who has watched game deals and licensing closely, Sony stands out immediately. Through Spider-Man, The Last of Us, and God of War, they have built the clearest example of what genuine IP ownership looks like in gaming, where the value lives inside the product itself, not in a licence that can be revoked or repriced overnight and completely crash the entire product in the process. For any acquirer looking at a licence-dependent studio, Sony is the ideal business model to take notes from.

The biggest mistake people make is assuming the name is more valuable than the product built around it. When authority over that product is lost, the licence stops being an asset and becomes the biggest vulnerability in the portfolio.

This paper attempts to build a framework for answering that question.

2. How IP Licensing Works

Licensing solves the major bottlenecks that any emerging business faces, legitimacy, awareness, and access. It grants organisations immediate legal ground and provides shareholders with a peace of mind that creates credibility for the organisation.

The short-term merit is simple: it delivers instant recognition in the mind of the consumer. When EA first licensed the FIFA name in 1993 (EA Sports, 2013), they were not yet the dominant force in sports gaming. The FIFA badge gave them instant credibility in a market they were trying to enter. The name opened the door to an audience that would have taken years to build independently.

In return, the licensor derives both financial and strategic benefit from the arrangement. The most direct benefit is revenue, through royalties, fees, and sales, creating a situation where the IP earns money without requiring the licensor's direct involvement in the market. Beyond the money, licensing also benefits the brand by providing exposure to new customers and helping the brand enter different geographic markets. A clear example of this is Bandai Namco publishing and distributing Elden Ring from FromSoftware, expanding the player base not just across Japan but across global markets, and the game went on to win Game of the Year (GOTY) in 2022 (Bandai Namco, 2022).

The standard M&A assumption treats a licence as a stable asset. On paper it looks safe, steady cashflow, ongoing royalties, and a contract providing legal cover. However, a contract only protects what is written inside it. It cannot prevent a licensor from walking away at renewal, doubling their fee, or building a competing product. The stability that looks guaranteed on paper is entirely conditional on the licensor's continued cooperation. This is where the standard assumption begins to break down.

3. Inversion Thesis

The starting point of any licensing contract follows a familiar pattern. A struggling firm tries to find a licensor to help them create a warm market, use their resources and goodwill to generate revenue, and enter geographies they couldn't reach through traditional methods. The relationship is built on co-dependency, the licensee depends on the licensor for promotion and resources, while the licensor provides brand recognition and earns revenue from it.

But with time, just the way a kid grows up and surpasses his parents, there comes a point where the product becomes bigger than the brand itself. The example that immediately comes to mind is Kylian Mbappé and PSG. Rather than being an asset, he became a liability and caused friction within the team. The moment he left, the club that had never reached a European final reached their first-ever Champions League final in the 2024–25 season, which they won. Eventually, the licensee and the product become bigger than the franchise itself.

As this shift happens, the power moves from the licensor to the licensee, and the product starts being recognised on its own terms rather than through the licensor's brand. People show up because of their loyalty to the product, not because of the licensor's name anymore. This is the inversion, the licensor loses authority over the product and the licence becomes a liability disguised as an asset.

The licensor provides capital while remaining removed from the operational responsibilities of the organisation. The licensee takes those resources and builds from the ground up, improving the product, responding to customer feedback, developing infrastructure the licensor never touched. Over time, the licence quietly loses its worth and becomes nothing more than a name on the box. A strong real-world example of this is Disney and Netflix, where Disney initially licensed its content library to Netflix to help expand the platform, but eventually Netflix's operational systems, global reach, subscriber base, and original content became so large that the platform itself held greater long-term value than any individual licensed property Disney could offer.

This is what economists call the hold-up problem (Klein, Crawford & Alchian, 1978).

During the initial stages, Netflix was heavily dependent on Disney's content library. But with time, through algorithm development, expansion to global markets, and reaching geographies

where OTT services were previously unheard of, Netflix grew beyond Disney's sphere of influence. That is when Disney launched Disney+, reasoning that there was no point renting a licence to someone who had outgrown the dependency.

Disney had licensed Marvel, Pixar, and Disney films to Netflix from 2012 (Disney/Netflix, 2012) and by 2017 had pulled everything back. The problem was Netflix had already outgrown them. Disney+ has never matched Netflix's global dominance, and the content withdrawal barely dented Netflix's subscriber growth.

When the licensee's market influence begins to surpass that of the licensor, the licensor may perceive a loss of authority over the intellectual property. This shift in bargaining power often results in renegotiated licensing terms, including higher contract costs, or motivates the licensor to vertically integrate by developing their own platforms or competing products.

The EA and FIFA case illustrates the former, where escalating contract costs triggered the separation, and Disney and Netflix illustrates the latter, where the licensor, upon recognising the growing dominance of the licensee within OTT services, withdrew licensing rights and launched a direct competitor.

4. The Economics of Power Dependency

At the start of any contract, the licensor holds the negotiating power. The licensee lacks the established credibility to make the licensor bend on their terms, so they accept whatever is put in front of them. They have a sense of urgency, after burning through so much runway building the product, they need revenue immediately, and the licensor's market dominance is the fastest route there. A useful parallel here: someone who has been unemployed for seven months will take the job on the company's terms because they are desperate for income. They accept lower pay than they wanted, work schedules that don't suit them, and absorb tasks outside their job description, because the company has all the leverage and the candidate has none.

But this doesn't stay that way. As the product establishes itself in the market and builds its own identity, the licensee's dependency on the licensor shrinks. The licensor can no longer use the threat of ending the contract as a weapon. Now the licensor needs the licensee for stable, recurring revenue, and that flips the dynamic. The licensee enters the next negotiation with real leverage for the first time. The parallel here works the same way: an employee who has built infrastructure, solved complex problems, and made themselves indispensable doesn't quietly accept being undervalued. When a better offer comes along, the company has to counter, not as a favour, but because replacing this person would cost more than retaining them. The power has moved.

The deeper mechanism at work here is what happens when both sides pour resources into the relationship over a long period of time. The more invested both parties become, the harder separation gets, and this isn't a coincidence, it's built into the structure of co-dependent contracts. When you put enough operational, financial, and infrastructural resource into a shared product, those resources stop being transferable. They become specific to this relationship and nothing else. The moment the relationship ends, the trail of committed effort makes it clear who actually built the product. As the saying goes, consistent effort over time reveals who was genuinely committed.

This is the exact situation that creates the conditions for exploitation, and it works both ways. Either the licensor or the licensee can leverage the other's sunk investment to extract more than was originally agreed, once walking away becomes structurally costly. Economists call this the hold-up problem (Klein, Crawford & Alchian, 1978). When one party has made

relationship-specific investments they cannot recover on exit, the other party gains bargaining power they didn't have at the start.

The EA and FIFA case illustrates the fee escalation side of this dynamic (GameSpot, 2021; Inside World Football, 2021), and Disney and Netflix illustrates the platform-building response. Both are the same underlying mechanism, a licensor realising the product has outgrown the licence and reacting in a way that ultimately confirms it.

5. Industry Context: Licence Dependency Across Gaming

Gaming licensing relationships differ from traditional licensing industries because the game itself eventually develops value that is independent of the licence attached to it. In most traditional licensing structures, removing the licence would immediately destroy the product's market identity. Gaming ecosystems work differently. While licences initially provide legitimacy, marketability, and consumer recognition, the publisher keeps investing into gameplay systems, online infrastructure, live-service support, and long-term player retention. Over time, the game starts being recognised for its ecosystem and operational identity rather than the licence itself. The licence may introduce the audience to the product, but eventually the ecosystem built around the game becomes more valuable than the symbolic ownership attached to it.

During the initial stages of development, the licence is the dominant asset. Established licensors give publishers legitimacy, consumer familiarity, and immediate access to an existing audience that would otherwise take years to build. For gaming companies, this significantly reduces one of the biggest barriers at launch, attracting early users and establishing credibility. A football game attached to FIFA immediately benefits from the emotional attachment fans already have toward the sport, letting the game enter the market with far less resistance than an entirely original title. At this stage, the dependency is heavily one-sided. The licensor has the brand recognition, audience trust, and marketing reach to commercialise the product globally, while the licensee primarily contributes operational development and production.

Over time, the licensee independently starts creating value and gradually shifts the relationship from hyper-dependence toward something more balanced. They do this the same way most traditional businesses grow, through continuous investment, improving organisational efficiency, developing long-term player relationships, and building systems that retain existing users while attracting new ones. Unlike traditional licensed products that rely almost entirely on brand recognition or celebrity promotion, gaming ecosystems continuously evolve through improvements in gameplay mechanics, online systems, live events, and community engagement. A clear example of this is NBA 2K, which started as a simple basketball simulation but expanded over time through custom player creation, deeper gameplay systems, and fluid movement mechanics that differentiated it from older titles that felt robotic and repetitive.

(Eurogamer, 2023). This continuous improvement gradually built player attachment to the ecosystem itself rather than just the basketball licence.

As gaming ecosystems grow, the publisher's operational efficiency becomes the deciding factor in whether the product remains commercially relevant long-term. This becomes clearly visible through Marvel licensing, where different organisations operated under the same Marvel IP but achieved very different outcomes. Marvel's Spider-Man succeeded because of its fluid gameplay systems, physics-driven swinging mechanics, immersive traversal, and dynamic combat that made players feel connected to the ecosystem beyond the licence itself. In contrast, Marvel's Avengers struggled commercially despite carrying the same Marvel licence, many players criticised its repetitive grinding systems and lack of engaging depth (GamesIndustry.biz, 2023). The game entered a market where consumer expectations had already been shaped by Spider-Man and Batman: Arkham Knight (Rockstar Games Newswire, 2015), both of which had set strong standards for fluid combat and immersive player engagement. The contrast showed that while licences may eliminate early bottlenecks like market recognition, long-term sustainability depends entirely on the publisher's operational execution.

The strongest evidence of ecosystem resilience can be seen when publishers weaken or abandon established branding while still trying to retain their player base. Konami and the transition from Pro Evolution Soccer to eFootball is the clearest example. Despite significantly weaker licensing strength than FIFA, Konami had built a dedicated fanbase through gameplay familiarity, fluid mechanics, and long-term attachment across multiple generations. Many players stayed with the ecosystem rather than switching to a competitor simply because of stronger branding. When Konami retired the PES identity and moved to eFootball as a free-to-play strategy, the launch faced severe criticism, technical instability, glitches, and an overall unpleasant experience, yet portions of the existing fanbase still remained loyal despite the weakened brand identity. That level of loyalty demonstrated that long-term player attachment can exist independently of symbolic branding, when operational familiarity and community attachment have already been established.

Across the gaming industry, the pattern follows a similar structure. Licensing relationships initially give publishers legitimacy, credibility, global market access, and consumer familiarity, while the licensee gradually creates independent value through continuous investment in

gameplay systems, live events, community engagement, and player retention. Over extended periods, players become more attached to the operational systems surrounding the product than to the licence itself. This shift in bargaining power creates strategic tension, particularly when licensors try to raise licensing costs in response to the ecosystem's growing commercial success, or attempt to directly compete with the product themselves. The clearest example of this inversion is the long-term relationship between Electronic Arts and FIFA, which began in 1993 (EA Sports, 2013; Computing History, 2024) as a partnership designed to legitimise football gaming and ended as a struggle over operational control, ecosystem ownership, and bargaining power.

6. EA Sports and FIFA: A Case Study

During the early 1990s, the football gaming sector was relatively underdeveloped and dominated by the likes of Sensible Soccer and Kick Off. Despite establishing themselves within the market, these titles had significant gaps that were holding back their long-term potential. One of the major limitations was the flat perspective, almost every title operated through a simplified 2D structure where the camera was positioned directly above the pitch or through side-scrolling systems, limiting player immersion and spatial awareness.

Another limitation was the lack of tactical depth. Most titles during this period focused on arcade-oriented gameplay where repetitive button inputs were often enough to win matches. Tactical positioning, strategic structures, and simulation-oriented decision-making remained underdeveloped compared to real-world football. Many games of this period also lacked emotional immersion, player behaviour, celebrations, tackles, bookings, crowd atmosphere, and environmental presentation were highly simplistic, making games feel detached from real football and more like static simulations than immersive sporting experiences.

Electronic Arts identified these unresolved gaps and positioned itself differently. In 1993, EA entered the football gaming market and began building solutions that expanded realism, tactical engagement, and player immersion beyond the arcade-driven structures that dominated earlier titles. Instead of relying on traditional 2D perspectives, EA introduced more dynamic player viewpoints and gameplay systems that improved player positioning, movement awareness, and overall realism (EA Sports, 2013).

EA also gradually introduced deeper tactical systems where attacking structures, defensive formations, and strategic decision-making became increasingly important. Unlike earlier arcade systems where button inputs often determined outcomes, EA tried to create gameplay experiences that more closely reflected the structure and flow of real football. In addition, EA significantly expanded the atmosphere surrounding football games, crowd presentation, pitch textures, environmental conditions, player animations, and officiating systems, which collectively made the experience far more immersive. These improvements helped EA differentiate itself and gradually established the company as capable of modernising football gaming into a commercially scalable and immersive ecosystem.

This is what made FIFA view Electronic Arts as a strategically valuable long-term licensing partner. During the early days of the contract, FIFA provided EA with exactly what it needed in the early 1990s, legitimacy, exposure, branding, and the recognition that came from the global governing body of football partnering with a video game developer. With FIFA's backing, EA launched FIFA International Soccer in December 1993. Despite being released late in the year, the title quickly became commercially successful and was widely referred to by consumers as FIFA '94. Within the first two weeks of release, the game became one of the top-selling titles in the United Kingdom and reportedly held the number one sales position for several months (Computing History, 2024). With the commercial success of FIFA '94, EA rapidly established its presence in European football gaming markets.

While EA continued investing in expanding the game, improving gameplay, and growing beyond domestic markets, FIFA also benefited significantly from the partnership by expanding its visibility within the entertainment and gaming sector. The agreement let FIFA strengthen its digital presence within the rapidly growing interactive entertainment industry while attaching its branding to an increasingly modernised football gaming ecosystem. Despite the relationship being heavily one-sided in the early stages, with EA still depending significantly on FIFA's symbolic legitimacy and international recognition, both organisations benefited strategically through different forms of value creation.

Throughout the early 1990s and 2000s, Electronic Arts and FIFA together did something far more important than releasing yearly game titles. They gradually created an entire digital football ecosystem and associated themselves deeply with football itself, continuously improving the game with every yearly release. Over time, when consumers thought about football gaming, the first thing that came to mind increasingly became FIFA rather than simply another football title. This wasn't an overnight success, it was an ecosystem that compounded gradually through continuous operational improvements, yearly engagement, and long-term player familiarity. EA and FIFA didn't just attract players temporarily; they increasingly conditioned audiences to expect football gaming through the FIFA ecosystem, which strengthened recurring engagement and long-term behavioural attachment to the franchise.

With globalisation and the rise of the internet during the 2000s, FIFA expanded beyond a local offline gaming experience and gradually evolved into a globally connected competitive

ecosystem. Players could now participate in tournaments, championships, and online competitive gameplay against users from different regions, significantly changing how football gaming was experienced compared to earlier local player-versus-player systems. FIFA increasingly moved from an offline experience toward a persistent online ecosystem that not only created a more engaging experience for consumers but also opened opportunities for players to compete professionally and generate income. What started as relatively small offline tournaments eventually expanded into a massive international online ecosystem involving millions of participants worldwide.

But the way FIFA ultimately cemented its dominance within football gaming was through the introduction of Ultimate Team. The mode transformed how players interacted with football gaming ecosystems. Instead of playing isolated football matches, players increasingly invested their time and money into collecting cards, constructing personalised squads, participating in transfer markets, and continuously improving their teams over extended gameplay cycles. Ultimate Team also allowed EA to collect valuable behavioural data, player habits, common transfers, preferred formations, frequently used players, which further strengthened the company's operational understanding of its own ecosystem.

Ultimate Team gradually evolved into one of the most powerful retention systems in sports gaming. Players became emotionally attached not only to the FIFA branding itself but to the personalised squads, progression systems, and digital identities they had built within the ecosystem. Through recurring yearly releases, continuous engagement systems, and live-service structures, FIFA consistently encouraged players to return across multiple gameplay cycles. Over time, many consumers kept purchasing FIFA not solely because it carried the FIFA licence, but because they had become attached to the gameplay systems, progression structures, and operational continuity maintained directly by EA.

The long-term commitment of the audience toward the FIFA ecosystem significantly increased player retention, recurring monetisation, and yearly engagement while allowing the franchise to expand into previously inaccessible markets. While FIFA continued providing branding, global recognition, and football legitimacy, EA increasingly controlled the operational systems, behavioural retention mechanisms, and ecosystem infrastructure that sustained long-term engagement. As the ecosystem kept expanding, the relationship between FIFA and EA gradually

evolved beyond a standard licensing agreement into one of the most commercially successful strategic partnerships in gaming history.

As FIFA grew throughout the late 2010s, however, the relationship started showing cracks. What had initially been a mutually beneficial licensing relationship began to pull in two different directions. The introduction of Ultimate Team had significantly improved the organisational value and recurring revenue model, and EA was increasingly focused on building a long-term player engagement system, player retention through continuous seasonal events, that gave the product an independent identity separate from the licence.

As EA's ecosystem started generating billions in revenue, FIFA noticed the growth and sought a greater financial share and more organisational powers from the licensing agreement. Reports speculated that FIFA demanded a significant increase in licensing fees while also expanding its rights in the fields of digital value, operational control, and organisational authority. From FIFA's perspective, the reason EA gained its significance was because of the branding FIFA provided, their global superiority and legitimacy as the governing body of football was the main driving factor of the game.

EA's perspective was entirely different. The board recognised the benefit FIFA had provided during the launch phase, but argued that same relevance no longer existed. EA had spent nearly three decades improving the game, introducing new game systems, hosting tournaments, building player retention systems, and creating a sentimental attachment to the game rather than just the title. Operational investment had built the multi-billion dollar ecosystem. The branding FIFA provided had become, in their words, “four letters on the front of the box” (Robinson & Henderson, 2022). FIFA had not delivered the player base, the leagues, the players, the contracts with UEFA, the Premier League, La Liga, Serie A, the Bundesliga, all of those were separately negotiated by EA itself (EA Sports, 2013). FIFA had provided legitimacy around the brand. Everything else was built by EA.

On 10th May 2022, EA announced they would dissolve their partnership with FIFA after the launch of FIFA 2023 (Britannica, 2022). Following the official separation, the breakup became one of the clearest examples of how operational ecosystems can reduce their dependence on the licence that originally helped establish them. While FIFA retained its branding, legitimacy, and symbolic authority within football, EA retained the operational systems, player retention

mechanisms, live-service infrastructure, and long-term ecosystem continuity that had been built across three decades. Despite the removal of the FIFA branding, the transition to EA Sports FC 24 showed that a significant portion of the audience remained attached to the ecosystem maintained by EA, not to the FIFA licence.

7. Post EA and FIFA Breakup

The theory outlined in the previous sections, that licensing relationships change when the organisational value of the product surpasses that of the licensor, had been compounding in EA's favour years before the contract ended. The financial records make this impossible to dispute.

In fiscal year 2015, Ultimate Team generated \$587 million in revenue. By the end of fiscal year 2021, that figure had reached \$1.62 billion, a 176% increase in six years. The Ultimate Team's share of EA's total revenue grew from 16% in 2017 to 29% by fiscal year 2021. Meanwhile, the total licensing fee paid to FIFA was \$150 million annually (GameSpot, 2021).

Fiscal Year	Ultimate Team Revenue	% of EA's Total
2015	\$587 M	13%
2016	\$660 M	15%
2017	\$775 M	16%
2018	\$1.18 B	21%
2019	\$1.37 B	28%
2020	\$1.49 B	27%
2021	\$1.62 B	29%

FY2015, FY2016 and FY2020 percentages calculated from EA annual total revenue figures. All other percentages sourced directly from EA 10-K filings.

These numbers prove that through constant effort to optimise the game and make it an enjoyable experience for the player base, EA's product quality surpassed the value of the FIFA title and created a standard for football games that stood on its own. The contribution of Ultimate Team was the single biggest factor in separating the product from the brand, not overnight, but as a result of compounded effort. In 2020, FIFA's overall revenue was \$266.5 million. EA's revenue from Ultimate Team alone was \$1.49 billion (Murphy, 2021), surpassing the licensor's entire earnings by nearly 5.6 times.

FIFA's response was predictable. Having observed EA's total earnings in every financial year against the licence fees, the disparity was too large to ignore. From FIFA's perspective, they were missing out on their deserved share, they were receiving \$150 million in licence fees against EA's \$1.49 billion in Ultimate Team revenue alone. FIFA sought to increase the licensing price

by \$250 million (Inside World Football, 2021) and demand more organisational control over the game so their branding could be used for both online and offline purposes. From FIFA's perspective, their branding is what helped EA achieve its multi-billion dollar valuation, and \$150 million was not justified given what the licence had supposedly produced.

EA's internal team saw it completely differently. The board acknowledged the benefit FIFA had provided at launch, but argued that the same relevance was no longer there. EA had spent three decades improving the game, introducing game systems, hosting tournaments, building player retention mechanisms, and creating sentimental attachment to the game rather than the title. Operational investment built the multi-billion dollar ecosystem. The branding FIFA provided had become, in their internal assessment, exactly what the CEO would later say publicly, four letters on the front of the box. FIFA had not delivered the player base. EA was the one that negotiated all the contracts, with UEFA, the Premier League, La Liga, Serie A, the Bundesliga, and leagues across the world (EA Sports, 2013). FIFA provided legitimacy around the brand. EA built everything else.

Hence, on 10th May 2022, EA announced they would dissolve the partnership following the launch of FIFA 2023 (Britannica, 2022).

The Market's Response

The market's response to EAFC '24 was the first real test of the inversion thesis. If FIFA's name had been the primary driver of the game's success, EAFC '24 should have collapsed. It didn't, and that further hardened the statement made by both analysts and the CEO about FIFA being “four letters on the front of the box.”

EA Sports FC '24 became the best-selling video game of 2023, with 2.25 million copies sold, falling just short of FIFA '23's 2.39 million copies the previous year (BBC, 2024). Within the first four weeks of launch, the game had attracted 14.5 million active accounts globally. In Q3 of fiscal year 2024, the game delivered 7% year-on-year growth in net bookings. When EA released their full fiscal year 2024 earnings, total revenue was \$7.56 billion, with overall franchise net growth in the teens, while simultaneously saving the \$150 million in licensing fees they would have paid FIFA if the contract had continued. The analyst verdict from Wedbush Securities was precise, EA would generate larger profits by walking away from FIFA, and that proved correct.

EAFC '25

This is where the slight downfall of EA began. Full-year bookings guidance was reduced from \$7.5–\$7.8 billion to \$7.0–\$7.1 billion, a cut of roughly \$500–\$650 million, representing a fall of 7–8% against the \$7.6 billion of fiscal year 2024 (Reuters, 2025). The market's response was immediate. Pre-announcement, EA's stock was at \$142.50. Post-announcement, it fell to \$118.56, a drop of \$23.94 per share, a 16.7% fall in a single day. This was the worst performance EA had seen since the 2008 Financial Recession. Compared to the stock's peak of \$167.97 in November 2024, the total fall was around 29.4%, erasing approximately \$6 billion in total market valuation.

From the outside, to someone who hadn't followed the entire FIFA and EA history, it looks like losing the FIFA licence caused this fall. That is quite far from the truth. What EA's own data showed was something entirely opposite, the total player base actually increased from 86,000 players in 2024 to 110,026 in 2025, a rough increase of 28% in the overall player base. EA's records proved that overall engagement for FC '25 was high. The problem was monetisation. The players were present, but they chose not to spend in the same pattern as before. Ultimate Team had a rating of 2.5 and 2.6 for the years 2024 and 2025, compared to 3.6 and 3.7 for FIFA 2022 and 2023. The issue was product disappointment, and when a new game event launched in January, it brought back around two million dormant players to Ultimate Team packs within weeks.

The crucial point here is simple. The product underperformed not because of the absence of FIFA's licence, but because of operational inconsistency from EA's end. FIFA had been absent for two years at this point, its contract ended in 2022 and it played no role in the decline. The main issue was widespread disappointment in the game, which reduced spending on Ultimate Team and caused a dip in overall revenue. This further proved the inversion thesis, FIFA's licence played no part in the downfall, and when EA fixed their operational ecosystem, the disengaged players came back.

8. When Licensors Overplay Their Hand

There is a recurring pattern in licensing relationships that plays out regardless of industry, geography, or business model. Licensors hold power during the early stage of any contract, they provide legitimacy, access to global markets, and brand recognition at the exact moment the licensee needs it most. During those initial stages, the licensee already has too many things to address and getting into a licensing relationship takes some external worries off the table. But with time, this co-dependent relationship gradually shifts, and this is where the critical reading errors happen that strain the long-term relationship between the parties.

From the licensor's perspective, the product's revenue, growth, and market availability creates the conclusion that the licence is what grew the product into what it is today. From the licensee's perspective, compounded investments and constant operational and organisational changes are what separated the product from the brand. The moment the licensor increases the price of the contract is when everything breaks, because the licensor no longer holds the dynamic in the relationship, and the licensee has a strong case to push back.

FIFA provides the strongest evidence of what happens when a licensor overplays their hand. FIFA observed EA's earnings growing with time until they became a multi-billion dollar ecosystem generating around \$7 billion annually, while paying roughly \$150 million (GameSpot, 2021), less than 2%, to FIFA in licensing fees. FIFA's observations weren't entirely wrong. Post-1993, the market was dominated by Sensible Soccer and Kick Off, and FIFA helped EA enter a competitive market and position themselves strategically. But here is how FIFA misread the situation, from EA's perspective, three decades of ecosystem investment and contract negotiations with UEFA, the Premier League, La Liga, Serie A, and every other league were brought in by EA, not FIFA. FIFA's demand for \$250 million (Inside World Football, 2021) further strained the relationship, and EA ended the contract. Two years later, FIFA launched FIFA Rivals, developed by Mythical Games, supposed to be a competitor for EAFC. FIFA Rivals recorded 1 million downloads within 46 days of its June 2025 launch and 5 million matches played, figures that, while modest, represent a negligible commercial footprint relative to EA Sports FC's scale (MyTokenCap, 2025).

Netflix and Disney followed a similar pattern. In 2012, Disney licensed Marvel, Pixar, Star Wars, and its entire content library to Netflix (Disney/Netflix, 2012), providing Netflix with a stable

early content base and access to dedicated fanbases, Marvel alone has had a following of nearly a century, launched in 1939. With a similar trajectory to EA, by 2017 Netflix's global subscriber base, algorithm, and original content had gained independent recognition, and the licence no longer provided the benefit it initially did. Noticing Netflix's rise, Disney withdrew the entire content library and launched Disney+ as a direct competitor in 2019 (Variety, 2019), two years after the contract ended. This worked against them. Netflix's dominance over OTT was undeniable, and rather than punishing Netflix, Disney punished themselves, removing their content from a global platform only to spend billions building a competitor that could not scale to an equivalent level.

A parallel but structurally different example emerged in EA's relationship with the NCAA. Unlike FIFA, the separation was not caused by fee escalation or contractual disagreements, but by legal complications surrounding athlete likeness compensation following the Ed O'Bannon lawsuit (Justia, 2015). The NCAA eventually ended the licensing relationship as the existing structure became increasingly difficult to defend legally and economically. Despite the commercial success of the franchise, the ecosystem temporarily collapsed under institutional pressure and regulatory risk. However, the eventual return of EA Sports College Football following NIL reforms (EA Sports, 2024) reinforced the same observation, consumer demand for the product remained intact despite the original licensing structure collapsing. The case shows that licence-dependent ecosystems are vulnerable not only to leverage miscalculations, but also to structural economic and legal shifts that make the original agreement unsustainable over time.

The common pattern across these cases was not fuelled by greed or malice, it was a misreading of where value is created. Both licensors overestimated the power of their brand at the exact moment when their leverage was weakest. The product had already surpassed the licence and no longer needed the brand to promote itself. Raising contract prices in that situation doesn't create leverage, it hardens the inversion, leaving the licensor exactly where they were trying to avoid being.

9. Common Mistakes in IP and Licensing Valuation

The previous section discussed how licensors tend to overplay their hand and treat themselves as the centre of the contract. This section addresses the same problem from a business perspective, highlighting common mistakes made by analysts, acquirers, and investors who misread the licensing arrangement during the time of contract creation. These mistakes are not random but recurring, often overlooked, and tend to become expensive in the long run.

Treating the Licence as a Stable Asset

The most common error in licence valuation is treating a licence the same as owned IP. On paper, the licence document looks like a stable asset, it has steady cashflows, legal cover, and a constant revenue entry. But in the real world, the licence is only stable for as long as the licensor agrees to stay with the contract on negotiable terms. Every licence has a commencement date and an expiry date. At that expiry date, the conversation restarts, and if the licensor still treats it as a co-dependent relationship where the licensee will agree to their demands, that is where the inversion thesis takes over. The licensee can walk away, because with time the dynamics have shifted and the licensor now needs the licensee more than the other way around. Acquiring a licence-dependent product without understanding this is the most common mistake acquirers make, because in any future scenario where the licensor walks away, the acquirer is left with no IP, just a brand name.

Confusing Brand Recognition with Value

When a product carries a globally recognised licence, it is often assumed that the licence is the source of the value. This error is especially common in gaming, entertainment, and media, where franchise recognition can be higher than the value of the product underneath. Player engagement and retention systems, libraries, community engagement, and live events are all visible in the games and stats, but not always in financial records in a way that makes the distinction clear. Disney was founded in 1923. If an acquirer were to value Netflix solely because of their partnership with Disney (Disney/Netflix, 2012), treating their worth as pre-determined by the value of that contract, the entire assumption would be wrong, and they would be left holding the post-split losses.

Failure to Account for Contract Renewal Risk

A business whose revenue depends substantially on a single licensing relationship carries a category of risk that standard financial modelling does not capture. When the contract expires, both parties know far more about the relationship than they did at the original signing. The licensor now knows how commercially successful the product has become. The licensee has developed a clear internal view of how much of that success is attributable to the licence versus their own operational investments. The hold-up problem applies directly: the licensor may demand equity, higher fees, or operational conditions that were not part of the original agreement (Klein, Crawford & Alchian, 1978). The critical question at any renewal point is simple, can the product sustain its commercial relevance independently of the licensor's terms? Failing to model this scenario during due diligence consistently results in overvalued cashflow projections that don't survive the first renewal cycle.

Underestimating the Licensor's Capacity to Compete

It is a common assumption that licensors are passive participants, entities that collect royalties while the licensee does all the operational and organisational work. This underestimates a structurally important risk. As the licensee's commercial success becomes increasingly visible, the licensor may develop both the motivation and the capability to build a competing product. The launch of Disney+ was not an impulsive decision, it was systematic execution of a strategy formed after Disney observed the commercial dominance Netflix had built using Disney's own licensed content. Any acquisition framework should incorporate predictive analysis of whether the licensor has the resources, market position, and incentive to enter into direct competition with the licensee's product, rather than treating the licensor as a permanently passive revenue counterparty.

For a more recent example, the structural conflict between Epic Games and Apple (Reuters, 2026) and the Ed O'Bannon v. NCAA ruling (Justia, 2015; EA Sports, 2024) both demonstrate how legal and regulatory shifts can suddenly alter the commercial viability of an existing licensing arrangement in ways that standard M&A due diligence is not designed to anticipate.

10. Due Diligence Framework

The previous section identified four recurring valuation errors common among analysts, investors, and acquirers in licensing-dependent environments. Each of those errors shares the same root cause, the standard M&A due diligence framework was not built for licensing relationships. It was designed to confirm that licences exist, that they are legally enforceable, and that they are transferable upon acquisition. What the EA–FIFA separation, the Konami–PES transition, and the Netflix–Disney content withdrawal collectively demonstrate is that the most consequential risk embedded in licence-dependent agreements is not legal, it is structural. The operative question is not whether a licence is valid or enforceable, but where the value within the relationship actually resides, and what happens to that value once the licence is removed.

1. Revenue Dependency

The separation between Electronic Arts and FIFA is one of the most thoroughly documented recent examples of revenue dependency analysis in a licensing partnership. Before the split, the prevailing assumption held that FIFA's global branding was the primary commercial driver of the franchise. The post-split performance of EA Sports FC fundamentally challenged that assumption. Ultimate Team engagement, player retention infrastructure, online systems, and independently negotiated league and club agreements with UEFA, the Premier League, La Liga, Serie A, and the Bundesliga all continued functioning with structural integrity despite the removal of the FIFA name. The licence provided symbolic branding, but the underlying value driver was the operational ecosystem (GameSpot, 2021). The central diagnostic question for any acquirer: is the revenue stream genuinely tied to the licence, or to the product infrastructure that exists beneath it?

2. Contract Renewal and Risk Assessment

The Netflix–Disney licensing relationship illustrates the structural vulnerability that emerges when contract renewal risk is not priced into an acquisition or valuation model. During Netflix's early development, Disney's content library, encompassing Marvel, Pixar, and Star Wars, served as a foundational value proposition that materially accelerated subscriber growth and platform credibility. The assumption that this arrangement would remain stable proved to be a systematic miscalculation. By 2017, Disney had recognised that its content was effectively subsidising a competitor's ecosystem rather than its own, and elected to withdraw its library and launch

Disney+ two years later (Variety, 2019). The strategic cost to Netflix was significant, requiring large-scale original content investment to offset the gap. The cost to Disney was arguably greater, billions allocated toward building a competing platform that has never achieved parity with Netflix's global subscriber base or operational scale (Netflix IR, 2020). Any business whose value proposition depends on licensed content carries material renewal risk that standard discounted cashflow analysis will systematically underweight.

3. Leverage and Bargaining Power

The structural conflict between Epic Games and Apple provides a commercially significant illustration of how bargaining power dynamics evolve within platform-dependent relationships as ecosystem maturity increases (Reuters, 2026). During Fortnite's early commercial expansion, Epic Games benefited from Apple's distribution infrastructure and established App Store user base. Apple derived significant revenue from transaction fees generated by Fortnite's in-app spending. As Epic Games grew into one of the most commercially prominent gaming platforms globally, comparable in distribution reach to Steam and Xbox, the company sought greater authority over its own payment processing and distribution architecture. Apple maintained strong institutional incentives to preserve its existing App Store fee structure. The resulting conflict, which escalated into formal litigation, demonstrated that as ecosystems mature, the functional distinction between a distribution partner and a structural competitor collapses, ultimately forcing legal and regulatory redefinition of digital market power.

4. Asset Durability and Ecosystem Infrastructure

The decline of Konami's Pro Evolution Soccer franchise demonstrates how difficult it becomes to preserve relevance when infrastructure and ecosystem control are weak relative to competitors. Unlike EA, Konami retained neither dominant league licensing coverage nor a monetisation ecosystem capable of sustaining long-term player retention at comparable scale. As football licensing became increasingly concentrated and live-service infrastructure emerged as the primary determinant of long-term player engagement, the PES franchise progressively lost commercial positioning, not because it lacked a recognisable legacy identity, but because the broader operational ecosystem surrounding the product was insufficiently developed relative to its primary competitor. The case illustrates that retaining a product without retaining the infrastructure ecosystem surrounding it leaves limited durable commercial value. In

licence-dependent industries, infrastructure durability is a more reliable indicator of long-term asset value than legacy brand recognition alone.

Taken together, these four dimensions constitute the evaluative supplement this paper proposes for standard M&A due diligence when assessing licence-dependent assets. The legal validity of a licence is a threshold condition, not a value determinant. The structural question, where the value lives, and what survives the licence's removal, is the question that determines what an acquirer actually owns.

11. Sony and M&A Implication

The entire paper has argued against the structural risks embedded in licence co-dependency. Sony's current global standing in the gaming industry is the precise counter-model to every risk outlined, a two-decade record of calculated exit from licence-based dependency through deliberate IP ownership, studio acquisition, and full distribution control. By internalising the most risk-prone components of the value chain, Sony has structurally eliminated the primary vulnerabilities that destabilised every licensing relationship examined in this paper: no renewal risk, no licensor leverage, and no dependence on a third party's continued commercial cooperation.

The commercial evidence supporting this model is substantive. Marvel's Spider-Man, released in 2018 by Sony-owned Insomniac Games (CNET, 2019), generated \$827 million in net sales revenue from 22 million copies sold and became Sony's best-earning first-party PlayStation 4 title by a significant margin (Tweaktown, 2023). God of War: Ragnarök sold 5.1 million copies within its first five days of release (Gematsu, 2022). The Last of Us Part II, produced at a reported development cost of approximately \$220 million (Game Developer, 2023), sold 4 million copies within its first three days (GameSpot, 2022). Spider-Man 2, released in October 2023, sold 2.5 million copies within its first 24 hours, making it Sony's fastest-selling first-party title at the time of release (Sony Interactive Entertainment, 2023). Across PC and non-PlayStation platforms, Sony has generated at least \$2.37 billion in revenue from first-party title sales since expanding its multi-platform distribution strategy (Tweaktown, 2025). These are not the numbers of a company dependent on third-party intellectual property to sustain its commercial position.

The structural differentiation matters for M&A analysis. Spider-Man operates under a licence from Marvel, and therefore ultimately under Disney's ownership, meaning Sony pays a royalty on net sales that compresses margin on that specific franchise (Axios, 2023). But titles like God of War, The Last of Us, Horizon Zero Dawn, and Ghost of Tsushima carry no such obligation. Sony owns these intellectual properties entirely. There is no renewal date, no licensor leverage, no scenario in which a third party can reprice the asset or withdraw it from the market. The value is permanent and entirely within Sony's control.

For any acquirer evaluating Sony's gaming division, this IP ownership structure is a material premium, not because it affects current cashflow significantly in isolation, but because it eliminates the precise category of structural risk that destroyed FIFA's negotiating position and forced Disney to spend billions building a streaming platform it would not have needed had it maintained content control from the start.

The Sony model also demonstrates the long-term compounding effect of full ecosystem ownership. The Last of Us franchise began as a PlayStation exclusive in 2013. A decade later, it had expanded into a critically acclaimed HBO television adaptation that drove renewed commercial interest in both the original game and its sequel, generating incremental revenue from an IP Sony owns entirely. God of War similarly expanded from a PlayStation-only franchise into a multi-platform commercial asset without Sony surrendering any operational or commercial control to a third-party licensor. Each expansion increases the underlying value of the IP without requiring renegotiation with an external licence holder. This structural ownership model generates compounding returns over time, leverage that accrues entirely to the owner rather than being shared with or held hostage by a third party.

The implication for M&A evaluation is direct. When assessing a gaming studio for acquisition, the acquirer simultaneously faces two structurally distinct scenarios. The first is a studio whose commercial success is built on owned IP, where the value is permanent, renewal risk is zero, and the full compounding benefit of franchise expansion accrues entirely to the acquiring entity. The second is a studio whose commercial success is built on licensed IP, where cashflow is real but conditional, renewal risk is structural, and the long-term trajectory of the asset depends on a third party's continued cooperation and commercial restraint. Sony's approach toward first-party ownership is the strongest available evidence that the first scenario is not merely preferable in theory, it is demonstrably superior over extended time horizons. Sony did not get there overnight, but through two decades of systematic, calculated decisions that compounded their structural dominance.

12. Conclusion

This paper set out to build a framework for understanding what a licence is actually worth, not on paper, and not at the moment of signing, but over time, as the product matures and the operational value of the ecosystem diverges from the symbolic value of the badge. The EA and FIFA case provides the clearest available evidence for this framework because it generated a documented financial trail across three decades, ended in a clean separation that served as a natural experiment, and produced post-split data that confirms the central argument without ambiguity.

The framework can be summarised in four propositions. First, licensing relationships invert when operational value creation outpaces symbolic brand value, and this inversion is structural, not coincidental. It doesn't happen overnight; compounded efforts by the licensee is what strengthens it over time. Second, licensors who misread the source of a product's commercial success and overreach at renegotiation accelerate the inversion rather than prevent it. The brand helped the product gain momentum, provided operational and marketing support during the initial days, but remaining fixated on that initial contribution when the product has already surpassed the brand is a fundamental miscalculation. Third, standard M&A due diligence was not built to capture the structural risk inside licence-dependent revenue, and acquirers who rely on it without supplementing it with the evaluative questions outlined in this paper are systematically underpricing renewal risk. Fourth, the most durable gaming assets are those exemplified by Sony's first-party IP ownership model, where operational value and IP ownership are held by the same entity, eliminating all the structural tension that defines every licensor-licensee relationship.

The biggest mistake people make is assuming the name is more valuable than the product built around it. EA's CEO called the FIFA licence four letters on the front of the box. He wasn't being dismissive, he was describing, with considerable precision, what three decades of operational investment had reduced a globally recognised brand to within the context of their specific relationship. The name created legitimacy, recognition, and market positioning in 1993. By 2022, EA had built something so large that the brand no longer needed to be used. As discussed in the Inversion Thesis section, the dependency had switched entirely.

For any acquirer, investor, or analyst working in a space where licensing relationships are material to the asset being evaluated, the question to ask is not whether the licence is legally valid or currently profitable. The question is whether the value lives in the name, or in everything built beneath it. The answer to that question determines what you actually own, and what you are at risk of losing.

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Section 12 — Conclusion

All claims in the Conclusion draw from sources cited in earlier sections. No new citations required.